

25STCV32221 25STCV32221

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BACKGROUND

This case is a contract dispute. Plaintiff Town House Retail Center, L.P. alleges that it was unjustly brought into a construction contract which exposed it to significant financial and reputational risk.

On January 15, 2026, Plaintiff filed its first amended complaint ("FAC") against Defendants Grand Mesa Partners 400 Trinity Driver Hilltop Owners LLC, Ocean Rock Capital Partners, Ocean Rock Group, Ocean Rock Holdco LLC, Ocean Rock Hilltop Asset Manager, LLC, Sierra Equity Partners, LLC, GMP 400, LLC, D. Tucker Sharp, The Georgetown Companies, Georgetown Investors 3, LLC, and Steven E. Coury. The FAC alleges six causes of action stemming from the facts alleged above.

On March 9, 2026, Defendants Grand Mesa Partners 400 Trinity Driver Hilltop Owners LLC, Ocean Rock Capital Partners, Ocean Rock Group, Sierra Equity Partner, LLC, and D. Tucker Sharp filed a demurrer to the second, third, fifth and sixth causes of action in the FAC.

On July 13, 2026, Plaintiff filed an opposition.

On July 23, 2026, Defendants filed a reply.

TENTATIVE RULING

Defendants' demurrer to
Plaintiff's complaint is SUSTAINED.

Plaintiff is granted leave
to amend and has twenty days from the Court's order to file and serve an
amended complaint.

LEGAL STANDARD

"[A] demurrer tests the
legal sufficiency of the allegations in a complaint." (Lewis v. Safeway,
Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to
challenge defects that appear on the face of the pleading under attack or from
matters outside the pleading that are judicially noticeable. (See Donabedian
v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a
demurrer, a court may not consider declarations, matters not subject to
judicial notice, or documents not accepted for the truth of their contents].)
For purposes of ruling on a demurrer, all facts pleaded in a complaint are
assumed to be true, but the reviewing court does not assume the truth of
conclusions of law. (See Aubry v. Tri-City Hosp. Dist. (1992) 2
Cal.4th 962, 967.) The only issue a demurrer is concerned with is whether the
complaint, as it stands, states a cause of action. (See Hahn
v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is
sustained, leave to amend must be allowed where there is a reasonable
possibility of successful amendment. (See Goodman v. Kennedy (1976)
18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a
pleading can be amended successfully. (Ibid.; see also Lewis v.
YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is
any reasonable possibility that the plaintiff can state a good cause of action,
it is error to sustain a demurrer without leave to amend." (Youngman v.
Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

DISCUSSION

I.
Meet
and Confer

Before filing a demurrer

or motion to strike, the demurring party shall meet and confer with the opposing party in person, by telephone, or by video conference. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party must file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Here, the parties discussed

the demurrer by telephone. (See Antoni Decl., ¶ 2.) Thus, the meet and confer requirement has been satisfied. (See Code Civ. Proc., § 430.41, subd. (a).)

II.

Fraud

Causes of Action (Causes of Action No. 2 & 3)

The Court finds that

Plaintiff failed to allege resulting damage from Defendants' alleged fraud.

Accordingly, the demurrer to this cause of action is sustained with leave to amend.

To state a cause of action

for fraud, the plaintiff must allege: (1) misrepresentation by defendant; (2) defendant's knowledge of falsity (or "scienter"); (3) defendant's intent to defraud (i.e., induce reliance); (4) plaintiff's justifiable reliance; and (5) resulting damage. (See Conroy v. Regents of Univ. of Cal. (2009) 45 Cal.4th 1244, 1255.)

Here, Plaintiff alleges that

it invested \$4,263,000 to purchase a percentage interest in the subject property. (See FAC, ¶ 29.) Per the parties' agreement, Plaintiff's percentage interest would equal the amount of its investment against prior investments made in the subject property. (See *ibid.*) This percentage interest was allegedly 55%. (See *id.* at ¶ 34.) Plaintiff then goes on to assert facts to show Defendants' alleged fraud, their failure to disclose Dr. Tan's investment in the subject property, and how Defendants used this transaction to personally enrich themselves. (See *id.* at ¶¶ 30-37, 42-50.)

Despite these allegations,

Plaintiff failed to allege any resulting damage from Defendants' alleged fraud.

Simply put, it was promised that Plaintiff would receive a percentage interest if

it made an investment. Plaintiff decided to make an investment and accordingly received a 55% interest in the subject property. (See *id.* at ¶¶ 29, 34.) Therefore, given these allegations, Plaintiff got what was promised – a specified percentage interest in exchange for its multi-million-dollar investment. Furthermore, Plaintiff does not allege that it expected to receive a higher percentage interest, or that its money was used for other non-investment purposes. Therefore, Plaintiff does not allege any resulting damage stemming from Defendants' alleged fraud.

In opposition, Plaintiff contends that it sufficiently alleged resulting damage because Defendant Sharp allegedly used its funds to secure a 45% interest in the subject property. (See *Opp'n*, pp. 7:21-8:12; see also *FAC*, ¶ 30.) However, considering this and the other allegations of fraud, Plaintiff still fails to clearly allege how Plaintiff was damaged Sharp's alleged fraud. The Court finds that Plaintiff has not sufficiently alleged resulting damage from Defendants' alleged fraudulent conduct.

Because Plaintiff has not sufficiently alleged resulting damage, Plaintiff has failed to state all elements to this cause of action. (See *Conroy v. Regents of Univ. of Cal.* (2009) 45 Cal.4th 1244, 1255.) For this reason, the demurrer to this cause of action is sustained. Because there is a reasonable possibility of successful amendment, Plaintiff will be granted leave to amend to provide further specificity as to what resulting damage it suffered due to the alleged fraud.

III.

Violation

of Penal Code § 496 (Cause of Action No. 5)

The Court finds that Plaintiff failed to allege that Defendants' conduct constituted theft. Accordingly, the demurrer to this cause of action is sustained with leave to amend.

To state a cause of action for receiving stolen property, the plaintiff must allege: (1) property was stolen or obtained in a manner constituting theft; (2) defendant knew the property was stolen or obtained by theft; and (3) defendant received

or had possession of the stolen property. (See Pen. Code, § 496, subds. (a), (c).) In California, theft occurs when one:

feloniously steal[s], take[s], [carries], lead[s], or drive[s] away the personal property of another, or who shall fraudulently appropriate property which has been entrusted to him or her, or shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property, or who causes or procures others to report falsely of his or her wealth or mercantile character and by thus imposing upon any person, obtains credit and thereby fraudulently gets or obtains possession of money, or property or obtains the labor or service of another. . . .

(Pen. Code, § 484, subd. (a).)

Theft requires that the defendant act with specific intent to permanently deprive the owner of their property. (See *People v. Edwards* (1992) 8 Cal.App.4th 1092, 1099.)

Here, Plaintiff alleges that Defendants' committed theft by fraudulently inducing Plaintiff to make its \$4,263,000 investment. (See FAC, ¶¶ 58, 60-61.) However, as discussed above, Plaintiff's fraud claims do not survive demurrer because Plaintiff did not adequately allege resulting damages from Defendants' alleged conduct. (See § II.) Plaintiff appears to have received what was promised – partial ownership in the subject property in exchange for its investment. (See FAC, ¶¶ 29, 34.) The Court does not find that Plaintiff has sufficiently alleged that Defendants committed theft when Plaintiff received what was promised to it.

For these reasons, Plaintiff has failed to sufficiently allege that Defendants committed theft. (See Pen. Code, § 484, subd. (a).) The demurrer to this cause of action is sustained. Because there is a reasonable possibility of successful amendment, Plaintiff is granted leave to amend.

IV.

Removal

of Defendants as Tenant in Common Agreement (Cause of Action No. 6)

This cause of action is

subject to demurrer because Plaintiff is seeking injunctive relief, which is not an independent cause of action. (See City of South Pasadena v. Department of Transportation (1994) 29 Cal.App.4th 1280, 1293 ["Injunctive relief is a remedy, not a cause of action."]; see also Shell Oil Co. v. Richter (1942) 52 Cal.App.2d 164, 168 ["Injunctive relief is a remedy and not, in itself, a cause of action, and a cause of action must exist before injunctive relief may be granted."].)

If Plaintiff succeeds on a separate cause of action that justifies the injunctive relief it seeks, it may request it. However, the sixth cause of action is not a viable cause of action. Accordingly, the demurrer to this cause of action is sustained. To the extent Plaintiff has a basis to allege a valid cause of action that would support the requested injunctive relief as a remedy, Plaintiff may amend the complaint to include it.

CONCLUSION

For the foregoing reasons,
Defendants' demurrer to Plaintiff's complaint is SUSTAINED.

Plaintiff is granted
leave to amend and has twenty days from the Court's order to file and serve an amended complaint.